S&P Capital IQ PRO

# Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

**Public**

| | |
|---|---|
| **Year:** | Methodology Year: 2025 |
| **Question:** | Effective Tax Rate |

**Include Modeled Scores :** Yes

**Effective Tax Rate**

## Question

Does the company report the tax rate (income statement) and cash tax rate (cash flow statement) for the last two financial years?

## Rationale

This question aims to assess whether a company's tax rate may be unsustainable in a global context, based on the reported tax rate and cash tax rate for the last two years. Governments around the world have been increasingly critical of base erosion and profit shifting (BEPS) which enables tax avoidance through the exploitation of gaps and mismatches in tax rules, allowing companies to shift profits to low or no-tax jurisdictions. Some of the resulting corporate structures and agreements with local governments may be drawn up in a legally sound way, while others may not – even if they appear so. Long-term financial risks can also develop from arrangements that are later determined to be eroding the tax base of other countries or provide an unfair subsidy. These arrangements may be deemed illegal, incurring fines and penalties, or new regulations may be implemented that raise the tax obligation of compan

The Organisation for Economic Co-operation and Development commenced the BEPS project in 2015 to address these issues and the EU has been aggressive in targeting companies and countries it believes have illegal agreements, for example, those in violation of state aid rules. The European Commission announced in March 2018 that it proposed 1) to reform corporate tax rules so that profits are registered and taxed where businesses have significant interaction with users through digital channels, and 2) to impose an interim tax on certain revenue from digital activities. We expect this type of cooperation and regulation to continue, targeting companies and countries with low tax rates and removing the loopholes and agreements that allow companies to operate with relatively low rates in the long term. In addition to the regulatory developments listed above, consumers and voters are becoming increasingly a

### Performance Summary

| | |
|---|---|
| **Question Level Company Performance** | |
| **Question Weight** | |
| **Year-on-Year Change** | |
| **Industry Average Score** | |
| **Industry Highest Score** | |

*The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.*

### Additional Question Guidance & Information Display

#### Key Definitions

**Tax rate:** The percentage at which an individual or a corporation is taxed.

**Reported taxes:** The amount of taxes imposed on an organization as this is reported on the income statement.

**Cash taxes:** The amount of taxes paid to governmental authorities as indicated in the cash flow statement of that fiscal year.

- For example, for fiscal year 2018 please provide all cash taxes paid during fiscal year 2018, regardless of the period in which the tax liability arose in.

**Special note for companies subject to zakat (Islamic tax)**

Zakat is a tax on assets and therefore qualifies as a wealth tax, not an income tax. In this question, we focus on income tax only. Therefore, zakat should be excluded from the reported taxes and cash taxes paid sections.

If the company operates in a single jurisdiction and only owes zakat as taxes (and not income tax), please mark this question "Not applicable". Please leave both tables empty and provide explanations in the comment box below. Please follow the same approach if the company operates in a single jurisdiction and reports on income tax and zakat combined (e.g., taxation and zakat).

If the company does not operate in a single jurisdiction but only reports on income tax and zakat combined, please leave the cash tax paid box empty and provide explanations in the comment box below.

**Tax impact (in the second table explaining low taxes):** If the taxes reported or paid in cash are lower than expected, companies may have non-recurring items (e.g., net operating losses from acquired companies, major write-offs that cause temporary losses, tax settlement, etc.) that explain the low tax rate. The tax impact entered in the second table is the amount of tax that should be added back to the reported cash tax amounts reported in the first table, leading to a higher reported tax rate or cash tax rate.

**Group-wide net operating losses:** According to Macabacus, "Net operating losses (NOL) are a tax credit created when a company's expenses exceed its revenues, generating negative taxable income as computed for tax purposes. NOL can be used to offset positive taxable income, reducing cash taxes payable. NOL can be carried back two years to recover past taxes paid and forward 20 years to offset taxable income in future periods. After 20 years, any remaining NOL expires and is no longer available for use. NOL carried forward are recorded on the balance sheet as deferred tax assets (DTA)."

In case a company has group-wide net operating losses, there shall be no associated tax amount since there is no income.

**Non-recurring (one-time) losses in own operations:** Non-recurring (one-time) losses are irregular or infrequent losses (e.g., the write-off of a large investment, large settlement or fine) that would offset ongoing income generated.

**Net operating losses from prior periods and/or acquired companies:** This option refers to either net operating losses prior to the reporting period in question and/or "taxable acquisitions in which the acquired net assets are stepped-up for tax purposes, the target's net operating losses (NOL) may generally be used immediately by the acquirer to offset the gain on the actual or deemed asset sale." (Source: Macabacus)

**Single jurisdiction tax code (e.g., low domestic rate and maximum 10% sales abroad):** Certain countries (e.g., Ireland) have a low tax rate for companies. Therefore, those countries will have a lower tax rate than the average in the industry. If your company has more than 90% of sales domestically, this option can be ticked.

**Timing – Issues outside of the two years period:** This option refers to an event that happened outside of the two reporting years in the question and was carried forward to the last two fiscal years. This could be losses from a company's own operations as described above, or due to governmental tax reforms, including accounting adjustments for prior reporting periods due to major tax policy changes. Net deferred tax assets/liabilities is not acceptable as a tax issue.

The net change in valuation allowance can be accepted as a timing issue, provided the specific effect is clearly described in the public reporting.

#### Data Requirements

Earnings before tax (EBT) may also be known as operating income before tax or profit before tax and is often a unique line item on the income statement. Two years of data is required.

To get a sense of whether your company's "calculated average tax rate and/or cash tax rate is lower than it might be expected by a stakeholder", please review the Average Effective Tax Rate & Cash Tax Rate for each of the 24 GICS® Industry Groups on page 126 of the CSA Handbook.

To establish these industry group-specific thresholds, we have updated our original, Bloomberg-based research on the basis of the data collected via the 2023 CSA. We took each company's average effective tax rate, and cash tax rate, respectively, and averaged over all the rates reported for that industry group worldwide.

**FBN** industry: For a RIC (Regulated Investment Company) and for REIT companies, the criterion should be marked **"Not applicable"** because these companies usually do not pay income taxes.

For companies that are Master Limited Partnerships (MLPs), this question can be marked **"Not applicable"** because due to their structure these companies usually do not pay corporate income taxes.

This criterion should be marked **"Not applicable"** if the company's business model is to sell products but has 0 sales (even if they have revenues).

This criterion should be marked **"Not applicable"** for any new company that does not yet sell products (zero sales) because the company was recently launched, and its main product is still in R&D phase (e.g., clinical-stage biopharmaceutical companies).

#### Disclosure Requirements

Disclosure of the following items for the last two fiscal years:

- Earnings before tax
- Reported taxes
- Reported tax rate
- Cash taxes paid
- Cash tax rate

As stated in the question text, **completion of the second table of the question is not required**; however, if it is completed, we expect supporting public evidence.

If any of the following items have been selected, then these should be reported in the attached public evidence, as well as the corresponding tax impact (if relevant for the selected option):

- Group-wide net operating losses
- Non-recurring (one-time) operating losses in own operations
- Net operating losses from prior periods and/or acquired companies
- Single jurisdiction tax code (e.g., low domestic rate and maximum 10% sales abroad)
- Timing - issues outside of the two-year period reported

A private document or comment (e.g., a company's comment provided in the confidential comment box) cannot be accepted as a supporting document for the second table, unless it is verifiable in the public domain.

For all of the above:

**Listed and/or publicly owned companies** are required to provide links to public reports or corporate websites.

**Non-listed companies** are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to provide tax reporting in the public domain as their key stakeholder is the general public.

**Please note:** Answers in the form of "Confidential additional comments" for any type of non-listed company will not be accepted.

#### References

- Average Effective Tax Rate & Cash Tax Rate for each of the 24 GICS® Industry Groups, please see the CSA Handbook, page 126
- Organisation for Economic Co-operation and Development (OECD) framework "Base Erosion and Profit Shifting (BEPS)"
- Macabacus: https://macabacus.com/taxes/net-operating-loss

### Data View

| QUESTION LEVEL INPUT | COMPANY ANSWER |
|---|---|
| Company publicly reports on tax rate and cash tax rate for the last two years | Applicable |
| Earnings before tax (2023) | 25,324,000,000.000 |
| Earnings before tax (2024) | 21,034,000,000.000 |
| Reported taxes (2023) | 8,386,000,000.000 |
| Reported taxes (2024) | 6,797,000,000.000 |
| Cumulative adjustments on the basis of the acceptable reasons for a low tax rate (2023) | 0.000 |
| Cumulative adjustments on the basis of the acceptable reasons for a low tax rate (2024) | 0.000 |
| Average Reported Tax Rate from the last two financial years | 32.751629 |
| Cash taxes paid (2023) | 13,831,000,000.000 |
| Cash taxes paid (2024) | 6,472,000,000.000 |
| Average Reported Cash Tax Rate from the last two financial years | 43.796109 |
| Group-wide net operating losses | - |
| Single jurisdiction tax code | - |
| Non-recurring (one time) operating losses in own operations | - |
| Non-recurring tax amount (2023) | Not answered |
| Non-recurring tax amount (2024) | Not answered |
| Net operating losses from prior periods and/or acquired companies | - |
| Acquisition losses tax amount (2023) | Not answered |
| Acquisition losses tax amount (2024) | Not answered |
| Timing - net deferred tax assets/liabilities and major issues outside of the two-year period reported | - |
| Timing tax amount (2023) | Not answered |
| Timing tax amount (2024) | Not answered |

### Questionnaire

Please complete the following table related to the reported tax rate (income statement) and cash tax rate (cash flow statement) for the last two years. Please indicate where this information is available in the financial reporting.

Additionally, please select (if necessary) why the reported tax rate and/or the cash tax rate might be lower than expected. Please see the information button for additional information.

1. ●

Currency:

**Listed companies** are required to provide links to public reports or corporate websites.

**Non-listed companies** are required to provide internal documents and/or links to public reports or corporate websites.

| Financial Reporting | FY 2023 | FY 2024 | Calculated Average Rate |
|---|---|---|---|
| Earnings before tax | 25324000000 | 21034000000 | |
| Reported taxes | 8386000000 | 6797000000 | |
| **Cumulative acceptable adjustments*** (see below) | 0.000000 | 0.000000 | |
| **Effective tax rate (in %)** | | | *Automatic calculation of the company's reported taxes in the two-year period (with adjustments) divided by the earnings before tax in the two-year period.*<br>32.751629 |
| Cash taxes paid | 13831000000 | 6472000000 | |
| **Cash tax rate (in %)** | | | *Automatic calculation of the company's cash taxes paid in the two-year period divided by the earnings before tax in the two-year period.*<br>43.796109 |

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*Note: If the calculated average tax rate and/or cash tax rate is lower than the industry group averages shared via the information text, please specify the reason why, indicate the tax amount per item and provide explanations in the table below. Please also indicate where this information is available in the **reporting or corporate website**.

If the aspect *reduced* the tax burden (tax benefit), please indicate the impact as a negative number; however if the aspect *increased* the tax burden (tax expense), please indicate the impact as a positive number. On the basis of the numbers inputted, you will see an auto-calculation of the rate above: Please double-check that figure to ensure you have reported these aspects with the correct sign.

**Listed companies** are required to provide links to public reports or corporate websites.

**Non-listed companies** are required to provide internal documents and/or links to public reports or corporate websites.

| Reason | Tax Impact FY 2023 | Tax Impact FY 2024 | Explanation |
|---|---|---|---|
| 1. ☐ Group-wide net operating losses (in FY2023 or FY2024) | | | |
| 1. ☐ Single jurisdiction tax code (maximum 10% sales abroad and domestic corporate income tax rate below the posted industry group average) | | | |
| 1. ☐ Non-recurring (one time) operating losses in own operations | Not answered | Not answered | |
| 1. ☐ Net operating losses from prior periods and/or acquired companies | Not answered | Not answered | |
| 1. ☐ Timing - Major issues outside of the two-year period reported (including accounting adjustments for prior reporting periods due to major tax policy changes) | Not answered | Not answered | |

2. ○ No, the company does not report this information.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

**Confidential additional comments**

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.